

THE FLIP SIDE

➔ EXPERTS SAY THAT WAGE GROWTH THIS YEAR COULD BE IMPACTED DUE TO CONCERNS OVER A GLOBAL SLOWDOWN, FLAG RISKS OF AI

➔ WAGES CANNOT GROW COMPLETELY IN SYNC WITH PROFITABILITY, AND DEPEND ON EMPLOYEE PERFORMANCE, AMONG OTHER FACTORS

➔ COMPANIES' PROFITABILITY HAS IMPROVED DUE TO VARIOUS FACTORS LIKE DEBT REDUCTION AND CUT IN CORPORATE TAX RATES

➔ CREATING MORE JOBS OR INCREASING SALARY FOR A FEW IS CRUCIAL



salary cuts. In the following years, high inflation added to their woes with retail inflation averaging 5.4% in FY24. Private final consumption expenditure (PFCE) growth remained muted for successive quarters.

As per NSO data, gross savings of households grew 9% to ₹54.61 lakh crore in FY24, sharper than the 5.7% growth in FY23. However, the share of household savings in gross savings declined marginally to 59% in FY24 from 60.8% in FY23.

A report by India Ratings and Research says while households remain the largest stakeholders in the savings profile of the Indian economy, their savings rate has been declining after reaching a peak of 22.7% in FY21 and fell to a seven-year low of 18.1% in FY24.

“Household savings are dependent on real income/wage growth, which has been stagnant for a majority of the population due to lower job prospects and high persistent inflation (above 4%). Another dampening factor

for household savings is the rising financial liabilities. The household financial liabilities climbed to a 17-year high of 6.2% of GDP in FY24,” it says.

RESPIRE FOR NOW?

Acknowledging this growing burden on the middle, salaried classes and its impact on the economy, the Union Budget tried to provide a booster through a review of income tax slabs as well as making annual income up to ₹12 lakh tax exempt. The tax giveaways, amounting to ₹1 lakh crore, are expected to spur urban consumers into spending more and reviving the growth engines of India Inc.

A recent Crisil report says the leg-up to private consumption—which accounts for more than 55% of the country's GDP—from a reduction in taxes in the Budget can offer some support to capex by improving domestic demand and creating conditions for fresh investments.